

TURKEY

2009

1. Overview of the tax-benefit system

Unemployment benefits are not subject to any taxes or deductions other than stamp tax whose percentage rate is 0.6. (Unemployment benefits are not also subject to stamp tax, between 01/10/2008 and 01/09/2009.)

1.1. Average production worker wage (APW)

The gross average worker wage in the first half of 2009 in Turkey was: 22.20 TL (over 666.00 TL gross monthly minimum wage which is implemented for workers over 16 years old).

The gross average worker wage in the second half of 2009 in Turkey was: 23.10 TL (over 693.00 TL gross monthly minimum wage which is implemented for workers over 16 years old).

The gross annual average production worker wage for 2009 in Turkey was: 18 709 TL.

2. Unemployment insurance

2.1 Conditions for receipt

2.1.1 *Employment conditions*

2.1.2 *Contribution conditions*

2.2 Calculation of benefit amount

2.2.1 *Calculation of gross benefit*

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

2.3 Tax treatment of benefit and interaction with other benefits

Unemployment benefits are not subject to any taxes or deductions other than stamp tax. Nevertheless, unemployment benefits are not also subject to stamp tax, between 01/10/2008 and 01/09/2009.

2.4 Benefit duration and waiting periods

2.5 Treatment of particular groups

Reference date for all information is **December 31st 2009**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2.5.1 *Young persons*

2.5.2 *Older workers*

2.5.3 *Others if applicable*

3. Unemployment assistance

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments [NEW ITEM]*

3.2.1.2 *Obligations of family members [NEW ITEM]*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

4. Social assistance

4.1 Conditions for receipt

4.2 Calculation of benefit amount

4.2.1 *Calculation of gross benefit*

4.2.1.1 *Irregular additional payments [NEW ITEM]*

4.2.1.2 *Obligations of family members [NEW ITEM]*

Reference date for all information is **December 31st 2009**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

4.3 *Tax treatment of benefit and interaction with other benefits*

4.4 *Benefit duration and waiting periods*

4.5 *Treatment of particular group*

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. *Housing benefits for rented accommodation*

5.1 *Conditions for receipt*

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. *Family benefits*

6.1 *Conditions for receipt*

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

6.2.1.1 *Irregular additional payments [NEW ITEM]*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

6. Family benefits

The family allowances are paid on condition that the spouse of the insured does not work by being subject to any social security institution and does not get any income or payment from any institution, provided that the employment contract of the insured worker is still valid.

The children allowances are paid up to two children, if they have not completed 18th year, or, if receiving a secondary education his 20th year or, if receiving higher education his 25th year or, to son if disabled to the extent of being unable to work and if he is not drawing a pension to which he was entitled in respect of an employment covered by a retirement pension or social insurance scheme and to a daughter regardless of her age if she is not married or she is divorced or is a widow, provided that she is not employed in an occupation covered by Social Insurance Institution or under the Pension Fund for the Civil Servants or she is not drawing a pension from those institutions.

It is stated in paragraph 3 of article 16 of the Social Insurance and General Health Insurance Law No. 5510 that the women insured by the maternity benefit or the uninsured wife of the insured men, and the woman earning income or payment on behalf of herself, or the uninsured wife of the man earning income or payment among the insured people under the context of paragraph (a) and (b) of article 4 of this law are entitled to the nursing grant at the rate determined by the Board of Directors of the Social Security Institution and approved by the Minister, in the case of viable birth.

6.1 Conditions for receipt

6.2 Calculation of benefit amount

According to the Turkish social security legislation, the amounts exempted from the calculation of monthly insurance contributions in daily foods allowance, family allowance and children allowance for the period between 01/01/2008-30.06.2008 were as following:

Children Allowance: $608.40 \text{ YTL} \times 2\% = 12.17 \text{ YTL}$ (for each child, and maximum for 2 children)

Family Allowance: $608.40 \text{ YTL} \times 10\% = 60.84 \text{ YTL}$

Daily Foods Allowance: $20.28 \text{ YTL} \times 6\% = 1.22 \text{ YTL}$ (Number of Working Days $\times$ 1,22 YTL)

The same allowances for the period between 01.07.2008–31.12.2008 were calculated as following:

Children Allowance: $638.70 \text{ YTL} \times 2\% = 12.77 \text{ YTL}$ (for each child, and maximum for 2 children)

Family Allowance: $638.70 \text{ YTL} \times 10\% = 63.87 \text{ YTL}$

Daily Foods Allowance: $21.29 \text{ YTL} \times 6\% = 1.28 \text{ YTL}$ (Number of Working Days $\times$ 1.28 YTL)

Finally, the nursing grant for the year 2008 was 50 YTL.

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6.2.1 *Calculation of gross benefit*

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. *Childcare for pre-school children*

7.1 *Out-of-pocket childcare fees paid by parents*

7.2 *Child-care benefits*

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

7.2.2.2 *Income and earnings disregards*

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

8. *Employment-conditional benefits*

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8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. *Lone-parent benefits*

9.1 *Conditions for receipt*

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

9.2.1.1 *Irregular additional payments [NEW ITEM]*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. *Tax system*

10.1 *Income tax*

10.1.1 *Tax allowances and credits*

Income tax is levied on the real net value of wage and salary. The real net value of wage and salary is calculated by making the following deductions from the total cash payments made and fringe benefits given by the employer:

- Legal deductions for public institutions such as OYAK (Social Aid Institution for Military Officers)
- Contributions to the public pension funds established by law.
- Contributions to the private pension funds and premiums paid by the wage-earner for himself (or herself) and his (or her) spouse and dependant children for personal insurance schemes covering, death, illness, accident, disablement, maternity, birth and education, provided that the insurance is contracted with a company established in or with a main office in Turkey. The total amount of deductible contributions to the private pension funds can not exceed 10 per cent (for premiums that are paid for personal insurance schemes, it can not exceed 5 per cent) of the wage in the month which premiums or contributions are paid. Also annual amount cannot exceed the annual amount of minimum wage.
- Membership due made to the labour unions.

10.1.1.1 Standard allowances

After calculating the real net value of the wage and salary, the deductions mentioned below are made to obtain taxable income.

Standard reliefs:

- Reliefs for disabled: By the law 4842, relief for disable person is regulated again.

The employee who lost his/her working capacity at minimum 80 per cent is regarded as 1st degree disabled, minimum 60 per cent is 2nd degree disabled, minimum 40 per cent is 3rd degree disabled worker. Based on these degrees, following amounts are deducted from their monthly wages.

–	For the 1 st degree	670 TL
–	For the 2 nd degree	330 TL
–	For the 3 rd degree	160 TL

- Reliefs for social security contributions: Employees' social security contributions are deductible from gross earnings. This contribution is 15 per cent of gross income as stated by the social insurance act. The contribution to the unemployment fund is included in this amount and amounts to 1 per cent of the gross income. It is applied after 01.06.2000.
- Work-related expenses: None.

10.1.1.2 Standard tax credits

Minimum Living Relief

The calculation of the minimum living allowance is based on the annual gross amount of the minimum wage for employees older than 16 at the beginning of the calendar year in which the income is obtained multiplied by the following rates:

- 50 per cent for the taxpayer him or herself;
- 10 per cent for the spouse who neither works nor has an income;
- 7.5 per cent for each of the first two children;
- 5 per cent for each additional child.

This total amount is then multiplied by the rate (15 per cent) which is applied to the first income bracket of PIT Schedule stated in Article 103 of PIT Law, and then minimum living relief is calculated by offsetting 1/12 of the allowance amount against monthly calculated tax due on employment income. Any excess is non-refundable.

10.1.1 *Income tax schedule (central government income tax)*

The tax schedule in 2009 is as follows:

Taxable income (YTL)	Tax on lower threshold (YTL)	Tax on excess amount above lower threshold (%)
Up to 8 700		15
8 700 up to 22 000	1 305	20
22 000 up to 50 000	3 965	27
50 000 and over	11 525	35

Stamp tax

The stamp tax base is gross earnings. The tax rate is 0.6 per cent for the year 2009.

10.1.3 *State and local income taxes*

According to the Personal Income Tax Law, personal income tax is not collected by state and local governments and also tax collection which is made by central government is the only and final taxation.

10.2 *Treatment of family income*

Spouses are taxed separately on earned income. This applies since 1 January 1999.

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

Pensions (disability, old age and death insurance): 9 per cent

Sickness: 5 per cent

Unemployment: 1 per cent

10.3.2 Contributions payable by employers

Pensions (disability, old age and death insurance): 6 per cent

Sickness: 6 per cent

Unemployment: 2 per cent

Work injury: The industry-dependent rate varies between 1.5 per cent and 7.0 per cent. The rate includes occupational disease insurance. In this Report, the lowest rate is used (1.5 per cent).

Others (maternity insurance): 1 per cent

There is no distinction by marital status or sex and the contributions apply to gross earnings. Compulsory social security contributions of employees and their employers are calculated according to the schemes presented above.

For employees whose gross earnings are below the base or above ceiling earnings, which are determined at least twice a year, these contribution rates are applied to the base or ceiling amounts respectively. In 2009, the ceiling amount is TL 53 001,00 and the base amount is TL 8 154,00. Under the Social Security Law amended by Law 5198, the base wage for social security contributions is equal to the minimum wage since 1st July 2004. Because employees cannot earn less than the minimum wage, the base wage is not considered in this publication. However, the ceiling earnings are considered for the purposes of this Report.

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10.3.3 *Payroll taxes*

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

12. *Policy developments*

12.1 *Policy changes introduced during 2009*

According to Law no 5838;

Temporary article no 75 of PIT Law which has been added on 28.02.2009, Research and development staff's personal income taxes were exempted at the rate of %90 for whom at the degree of doctor and at the rate of % 80 for other R&D staff until 31.12.2013.

PIT withholding tax , SSC Employers share and energy incentive implementation latest date has been extended from 31.12.2008 to 31.12.2009 which was regulated with Law no:5084.

According to Law no 5904;

Article no 25 of PIT Law has been amended and indemnification payments for not to start staff to business back have been exempted from PIT.

12.2 *Future policy changes announced in 2009*

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.